Annex AH

Gratuity Policy for NUST Employees

Introduction of Gratuity and Defined Contribution (DC) Pension Scheme for Contractual Employees of NUST

1. A Working paper (WP) on the introduction of Gratuity and Defined Contribution (DC) Pension Scheme for NUST's contractual employees was put up in the Executive Committee Meeting(ECM) held on 19th July, 2012. The said WP, duly recommended by the ECM, was subsequently put up for approval in the Board of Governors (BOG) Meeting held on 29th Aug 2012. Salient features of the Gratuity and DC Pension schemes, which will be implemented w.e.f. 01-7-2012, are as under:

GRATUITY SCHEME:

a. The Gratuity will be payable to the contractual employees only.
b. The Gratuity will be payable to the employee from his/her date of joining NUST as contractual employee.
c. The minimum qualifying service (eligibility criteria) for becoming eligible to gratuity benefit will be 5 years of continuous service.
d. Under the scheme, the Gratuity will be payable to the contractual employees, fulfilling other conditions, on cessation of employment on the following grounds:
e. Retirement from contractual service on attaining maximum retirement age, i.e. 65 years as per NUST Statutes.
f. Death in service (Payment to be made to nominated Next of Kin)
g. Termination of service by the employer, other than for misconduct, negligence, or incompetence.
h. Resignation from service subject to (e) below:
i. Any contractual employee retiring on their own will/request within a period of 2.5 years after the date of implementation (01-7-2012) will not be entitled to this benefit.